CHAPTER IV

INDIRECT TAXES

Customs

Amendment of section 18.

92. In the Customs Act, 1962 (52 of 1962) (hereinafter referred to as the Customs Act), in section 18,—

(*a*) in sub-section (1), for the words "the proper officer may direct that the duty leviable on such goods, be assessed provisionally", the following shall be substituted, namely:—
"the proper officer may assess the duty leviable on such goods, provisionally,";

(*b*) in sub-section (1A), for the words "within such time and in such manner", the words "in such manner" shall be substituted;

(*c*) after sub-section (1A), the following sub-sections shall be inserted, namely:—
"(1B) The proper officer shall finalise the duty provisionally assessed, within two years from the date of such assessment under sub-section (1):
Provided that the Principal Commissioner of Customs or the Commissioner of Customs may, on sufficient cause being shown and for reasons to be recorded in writing, extend the said period to a further period of one year:
Provided further that in respect of any provisional assessment pending under sub-section (*1*) as on the date on which the Finance Bill, 2025 receives the assent of the President, the said period of two years shall be reckoned from the date on which the said Finance Bill receives the assent of the President.
(1C) Where the proper officer is unable to assess the duty finally within the time specified under sub-section (1B) for the reason that—
(*a*) an information is being sought from an authority outside India through a legal process; or
(*b*) an appeal in a similar matter of the same person or any other person is pending before the Appellate Tribunal or the High Court or the Supreme Court; or
(*c*) an interim order of stay has been issued by the Appellate Tribunal or the High Court or the Supreme Court; or
(*d*) the Board has, in a similar matter, issued specific direction or order to keep such matter pending; or
(*e*) the importer or exporter has a pending application before the Settlement Commission or the Interim Board,
the proper officer shall inform the importer or exporter concerned, the reason for non-finalisation of the provisional assessment and in such case, the time specified in sub-section (1B) shall apply not from the date of the provisional assessment but from the date when such reason ceases to exist.".